Responsible Artificial Intelligence Use Policy

Modern Holding Company ("Company") is human-centered. The Company supports the responsible use of Artificial Intelligence ("AI") to improve productivity, strengthen decision-making, support innovation, and enhance the quality and efficiency of work. AI is intended to support— not replace— the judgment, expertise, creativity, and accountability of the Company's people. This Responsible Artificial Intelligence Use Policy ("AI Policy") establishes the Company's position regarding the use of AI in the workplace.

The Company requires all employees, contractors, consultants, and other authorized users to use AI responsibly, securely, ethically, and in compliance with applicable law, contractual obligations, and Company policies. Users remain responsible for their use of AI and for all decisions, communications, work product, and actions taken with AI assistance.

Accordingly:

- Only AI tools, features, agents, integrations, accounts, and uses approved by the Company may be used for Company business or with Company information.
- Company, customer, vendor, employee, and other protected information may be used with AI only as specifically authorized by the Company.
- AI-generated output must receive meaningful human review appropriate to the nature of the work and the potential consequences of error.
- AI may not replace required human judgment or serve as the sole or controlling basis for employment, legal, financial, safety, security, compliance, or other consequential decisions.
- AI may not be used to circumvent security controls, violate third-party rights or contractual restrictions, mislead others, create unlawful or inappropriate content, or take unauthorized actions on behalf of the Company.
- AI agents and automated workflows may access Company systems, data, or functions only as specifically approved and subject to appropriate oversight and controls.
- Actual or suspected misuse, unauthorized disclosure, security issues, or other AI-related incidents must be reported immediately through the Company's designated reporting channels.

The Company may monitor and audit AI use within Company-managed systems and environments to the extent permitted by law and consistent with applicable Company policies and notices.

The Information Technology Department is the administrative owner of this AI Policy. Legal, Human Resources, Information Security, Engineering, Operations, Quality, Finance, and other appropriate Company functions will participate in reviewing AI tools and uses within their areas of responsibility. Technical approval does not replace any other approval required for a particular AI tool or use.

The Company's Guidelines and Procedures for Responsible AI Use provide the definitions, requirements, approval processes, safeguards, and reporting procedures necessary to abide by this AI Policy. Users must comply with both this AI Policy and those Guidelines and Procedures.

Violations may result in restriction or removal of access, disciplinary action, up to and including termination of employment or engagement, and legal action where appropriate. The Company prohibits retaliation against any person who makes a good-faith report or participates in an investigation.

Guidelines and Procedures for Responsible AI Use

1. Purpose

These Guidelines and Procedures for Responsible AI Use ("Guidelines") explain how to comply with the Company's Responsible Artificial Intelligence Use Policy ("AI Policy").

These Guidelines apply to all employees, staff, interns, contractors, consultants, temporary personnel, and other persons authorized to access Company systems or Company Data ("Users"). They apply whenever a User accesses or uses an AI Tool for Company business, on behalf of the Company, or in connection with Company Data, regardless of the device, network, account, application, or location used.

These Guidelines should be read and used in conjunction with the AI Policy, as well as the Company's Computer Use Policy, Information Security Policy, Data Classification Policy, Code of Conduct, and other applicable Company policies and procedures.

2. Defined Terms

"AI Tool" means any software, application, service, feature, plug-in, connector, or system that uses artificial intelligence to generate, summarize, analyze, recommend, predict, classify, decide, automate, or take action. AI Tools include standalone services and AI functionality embedded within Company or third-party systems.

"Approved AI Tool" means an AI Tool approved by the Company for a specified business purpose, user group, configuration, and category of Company Data.

"AI Agent" means an AI Tool or AI-enabled workflow capable of accessing systems, retrieving or modifying data, communicating with others, initiating transactions, or taking other actions on behalf of a User or the Company.

"Company Data" means information created, received, maintained, accessed, or used by the Company, including Confidential Information and information belonging to customers, vendors, employees, and other third parties.

"Confidential Information" means non-public, confidential, proprietary, sensitive, regulated, or legally protected information relating to the Company or another person or organization.

3. Company-Approved AI Tools

Before using an AI Tool, confirm that it is an Approved AI Tool and that the proposed use falls within the approval. Use only the approved Company account, configuration, features, integrations, and categories of Company Data.

Approval of an AI Tool does not authorize every possible use of that AI Tool. Additional approval is required before materially changing an approved use, including connecting the AI Tool to a new Company system or data source, enabling a new feature or integration, expanding access to additional Users, permitting external communications, or allowing the AI Tool to modify data or take action.

Users may not independently purchase, enable, install, integrate, connect, configure, or test an AI Tool for Company use. This includes AI features embedded in existing software, browser extensions, plug-ins, meeting tools, coding tools, mobile applications, and connections to Company systems or repositories.

Personal accounts, free accounts, consumer-grade services, and other non-approved AI Tools may not be used for Company business or with Company Data. Removing the Company's name or other identifiers does not make protected information appropriate for use in a non-approved AI Tool.

If the approval status or permitted scope of an AI Tool is unclear, do not proceed. Contact the Information Technology Department ("IT Department").

4. Confidential Information and Data Protection

Confidential Information may be used only when the specific Approved AI Tool, account, use, and category of Company Data and Confidential Information have been approved for that purpose.

Company Data and Confidential Information includes, among other things: personal information; customer, employee, vendor, and business partner information; financial information; Enterprise Resource Planning and Customer Relationship Management records; contracts and legal documents; pricing and margin information; customer lists; internal reports and analytics; source code; diagnostic logs; technical drawings and specifications; network, infrastructure, and security information; strategic plans; and other proprietary information or systems.

When using an Approved AI Tool:

- Share only the minimum Company Data that is reasonably necessary for the approved purpose.
- Redact or minimize Confidential Information, personal information, and customer identifiers when reasonably practicable.
- Never enter passwords, authentication credentials, private keys, access tokens, or similar security information.
- Do not upload complete documents, datasets, source-code repositories, diagnostic logs, technical drawings, or similar collections unless necessary and authorized for the approved use.
- Confirm that the Company has the right to use any third-party information or content for the intended purpose.
- Follow all applicable data-classification, privacy, security, confidentiality, contractual, legal-hold, and records-management requirements.

If there is uncertainty about whether Company Data may be used, do not submit it. Contact the IT Department or the appropriate Company function.

5. Appropriate Business Uses

Subject to the limits of the approval, an Approved AI Tool may assist with routine business-support activities such as:

- Drafting emails, communications, documentation, and standard operating procedures.
- Preparing meeting summaries and action items.
- Brainstorming and idea generation.
- Providing code suggestions and scripting support.
- Assisting with log analysis, troubleshooting, reporting, and IT diagnostics.
- Supporting approved Enterprise Resource Planning and Customer Relationship Management functions.
- Summarizing approved internal documentation.
- Analyzing public information.
- Organizing business insights and assisting with data interpretation.

This list does not authorize every use within each category. The type of Company Data involved, the purpose of the use, the audience for the output, any connection to another system, and the consequences of an error may require additional approval.

6. Review and Verify AI Output

A User must review and validate AI-generated output before relying on it, using it operationally, incorporating it into Company work, entering it into another system, or sharing it with another person.

The review must reflect the nature of the work and the potential consequences of an error. Technical, engineering, safety-related, legal, financial, employment-related, security-sensitive, compliance-sensitive, or customer-facing output must be reviewed by personnel qualified to evaluate the subject matter.

Material facts, quotations, citations, calculations, technical specifications, product information, recommendations, and instructions must be independently verified against reliable sources. Output should not be treated as accurate merely because it appears detailed, confident, complete, or well written.

All existing testing, inspection, quality-control, approval, and change-management requirements continue to apply to AI-assisted work.

AI-generated or AI-modified code, scripts, formulas, configurations, automation, and technical instructions must be reviewed, tested, secured, and approved under the same requirements that apply to comparable human-created work before deployment or operational use.

7. Restricted Uses

- **Employment and workforce decisions require advance approval**. Do not use an AI Tool to recruit, screen, rank, interview, evaluate, monitor, score, compensate, promote, discipline, terminate, or otherwise materially influence a decision about an applicant or employee without prior approval from Human Resources and Legal. This requirement applies even if a User makes the final decision or the AI functionality is embedded within otherwise approved software.

- **Sensitive or regulated uses require review by the responsible Company functions**. Obtain appropriate approval before using an AI Tool with regulated, contractually restricted, safety-critical, or otherwise highly sensitive information or activities. Examples include payment-card information, health information, government-contract information, unclassified or export-controlled information, personal or consumer information, and safety-critical operations.

- **IT approval does not replace other required approvals**. Approval of an AI Tool by IT addresses the technology but does not authorize every use. Depending on the proposed use, approval may also be required from Legal, Human Resources, Information Security, Engineering, Operations, Quality, Finance, or another responsible Company function.

- **AI output is assistance, not professional advice**. Do not rely on AI-generated content as legal, regulatory, tax, financial, engineering, safety, security, human-resources, or compliance advice. An Approved AI Tool may assist authorized personnel with preliminary drafting, research, or analysis, but qualified personnel must review the output before it is relied upon, used, or distributed.

8. AI Agents and Automated Workflows

An AI Agent requires prior approval before it can access Company systems or Company Data, communicate externally, or act on behalf of the Company. Approval must address its purpose, ownership, access, permissions, authorized actions, logging, testing, and human oversight. An AI Agent must operate only within those approved limits.

Unless specifically approved with appropriate safeguards, an AI Agent may not:

- Execute financial transactions or enter into contracts.
- Make employment-related or final professional determinations.
- Communicate externally or make commitments for the Company.
- Bypass security controls or access unauthorized systems or Company Data.
- Modify production systems or records.
- Take destructive or irreversible actions.

Additional safeguards may be required based on the AI Agent's autonomy, access, data sensitivity, and potential impact.

9. Intellectual Property and External Content

Users may submit content to an AI Tool only if the Company has the right to use it for that purpose. Users must not infringe third-party rights, violate confidentiality or contractual obligations, exceed license restrictions, or violate the terms governing the Approved AI Tool.

AI-generated output must be reviewed for unauthorized use or reproduction of third-party material. Use of an AI Tool does not establish that output is original, non-infringing, confidential, or eligible for intellectual-property protection.

Before sharing AI-assisted content outside the Company, Users must verify the material information, confirm that the content is authorized for external distribution, and ensure that it meets the Company's standards for accuracy, quality, confidentiality, and professionalism.

Users must disclose AI assistance when required by law, regulation, contract, customer request, or Company direction. Disclosure is also required when AI assistance forms a material part of a formal recommendation, decision, report, proposal, or deliverable. Disclosure is also required when failing to disclose direct interaction with an AI Tool or materially altered content would be misleading. Managers may establish additional disclosure requirements for particular teams, higher-risk work, or customer-facing activities.

Routine use of AI for brainstorming, formatting, editing, summarization, or preparation of a preliminary draft generally does not require disclosure when a User fully reviews, verifies, and takes responsibility for the final work.

10. Incidents and Misuse

Immediately report any actual or suspected AI-related incident to the IT Department or through the Company's designated reporting channel. Reportable incidents include:

- Use of a non-approved AI Tool or use outside an approval.
- Unauthorized exposure of or access to Company Data.
- Unexpected or unauthorized action by an AI Tool or AI Agent.

- Compromise of an account, feature, or integration.
- Unintended external communication.
- Materially inaccurate high-risk output.
- Suspicious attempts to manipulate a User, escalate privileges, circumvent controls, or exceed approved authority.

Stop the affected activity when safe, do not submit additional information or authorize further action, and preserve relevant prompts, outputs, notices, logs, and messages. Promptly report what occurred and follow instructions from authorized Company responders. Do not alter evidence, contact affected persons or the provider, make external statements, or attempt remediation unless authorized.

11. Training and Questions

Users must complete required AI security and acceptable-use training, including any role-specific training required by the Company.

The IT Department maintains the list of Approved AI Tools, identifies applicable conditions of approved AI tool use, receives and reviews requests for new AI tools and AI uses, and coordinates technical and security reviews of AI tools and other technology.

I agree, and it is my intent, to sign this document electronically, and that signing and submitting this document electronically is the legal equivalent of having placed my handwritten signature on it.

Signature

X